

Tata Consultancy Services Ltd

TCS

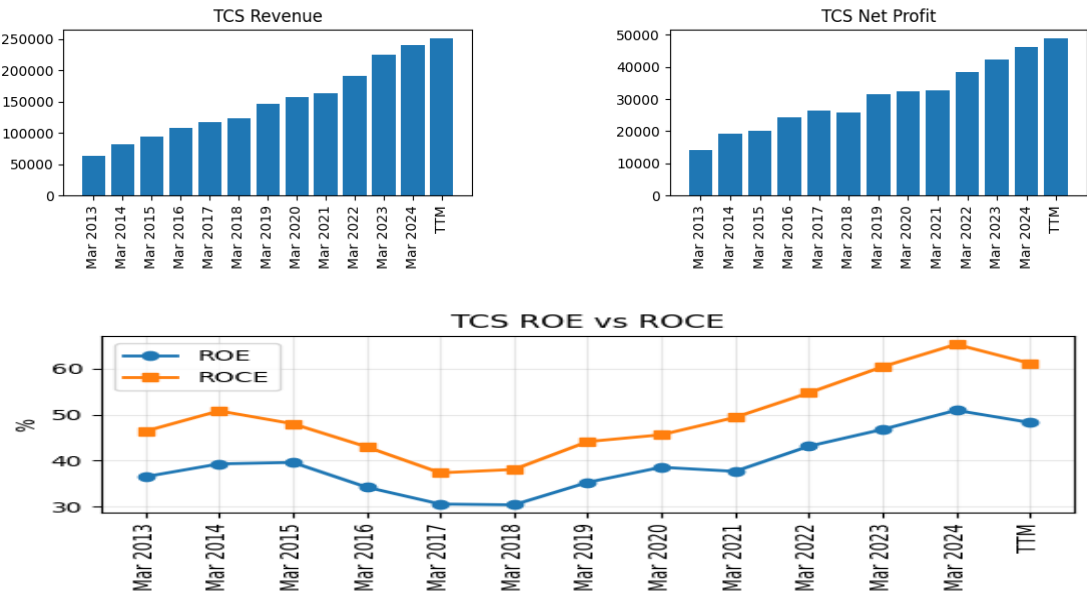
Key Financial Metrics

ROE 48.28%	ROCE 61.15%	Debt / Equity 0.09
Revenue CAGR 12.97%	FCF Conversion 96.18%	Quality Score 72.96

Company Profile

Company	Tata Consultancy Services Ltd
Sector	Information Technology
Industry	IT Services
Market Cap (■ Cr)	461,188.15
P/E Ratio	78.69
P/B Ratio	6.08
Dividend Yield	1.62%

Financial Performance



AI Investment Summary

Tata Consultancy Services Ltd maintains healthy financial performance and stable business fundamentals. It currently has excellent profitability, strong capital efficiency, steady revenue growth, moderate cash-flow quality and conservative leverage. The overall financial quality score is 73.0/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Strong free cash flow generation over 5 years signals healthy business fundamentals.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Buy. Overall, the company appears to be financially strong with manageable risks.

Pros & Cons

Pros - Consistently high return on equity above 20% demonstrates exceptional capital efficiency. - Strong free cash flow generation over 5 years signals healthy business fundamentals. - Operating profit margin above 25% indicates strong pricing power and cost discipline. - Very high interest coverage ratio reflects negligible financial stress from debt servicing.	Cons Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.
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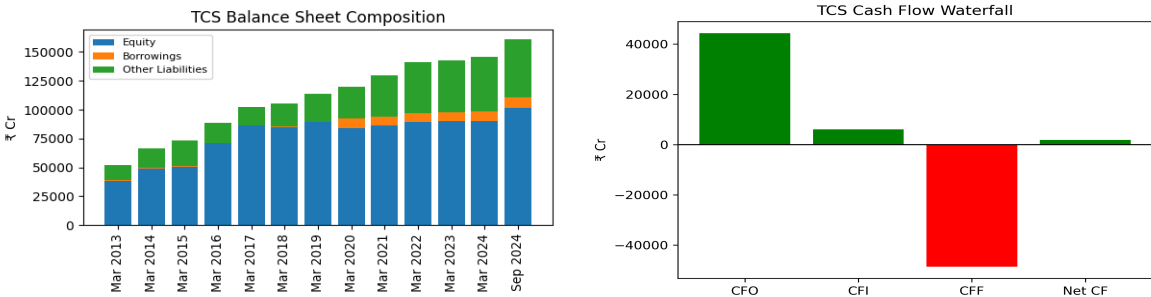
Investment Recommendation

Recommendation	BUY
Risk Level	LOW
Confidence	HIGH

Recommendation Reason:
The recommendation is based on an adjusted financial score of 73.0/100, supported by 4 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 73.0

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong
Cash Flow	Moderate

Leverage	Strong
Valuation	Expensive

Capital Allocation

Liquidating Assets